



RAISE DEFENCE SPENDING TO 3% OF GDP

► If recent border conflicts are anything to go by, turning Atmanirbhar in defence is a must. Increasing the share of defence expenditure to 3% of the GDP and supporting it with an earmarked non-lapsable fund for defence expenditure will go a long way to ensure this. There can be major benefits from expanding the role of the private sector so that defence expenditure multipliers can be higher than one.

ABOLISH FDI ROADBLOCKS

► To boost job creation, technology adoption and capital inflows, the government can further liberalise foreign direct investment (FDI) in sectors such as legal services, banking and retail trade. Increasing FDI limits, adding more sectors under the automatic route and reducing bureaucratic hurdles will make India a more attractive investment destination. In addition to this, policy consistency and streamlined approval processes at central and state levels is important to boost investor confidence.



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REVIVE MSME GROWTH

► Micro, small and medium enterprises (MSMEs) contribute nearly 30% to India's GDP and employ more than 110 million people. But, they face a massive credit gap of over ₹30 lakh crore. To unlock their full potential, the government should simplify the Goods and Services Tax, reduce frequency and complexity of filings and eliminate unnecessary regulations. Improving access to formal finance through fintech firms and expanding credit guarantee schemes may help the sector scale up sustainably.